

CAPITAL MARKETS

# Banks' Record Bond Short Signals a New Cost of Time for CRE Borrowers

Primary dealers' net short position means liquidity is priced for delay, not duration.

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A source-grounded Light Tower Insight.

For the first time in recent history, primary dealers have gone net short on the very debt they once held billions of dollars of. The record bond short is not a trading curiosity. It is a capital markets signal that the cost of time has changed.

Primary dealers are the banks and broker-dealers that serve as the Federal Reserve's direct counterparties in open market operations. They are not speculators by mandate. They are liquidity providers. When they collectively decide to hold a net short position in Treasury securities, they are saying that holding duration is no longer worth the risk.

The market meaning is straightforward: the price of waiting has gone up. For commercial real estate, where every refinancing, lease-up, and entitlement decision is a bet on time, this shift matters more than most headlines.

Primary dealers' balance sheets are the plumbing of the bond market. When they go short, they are not making a directional call on rates alone. They are signaling that the cost of funding a long position exceeds the expected return. That cost includes the repo rate, the opportunity cost of capital, and the risk that rates move against them before they can exit.

This is not a fleeting position. It is a structural adjustment in how the largest intermediaries price liquidity. And liquidity is what every CRE borrower needs to refinance, every sponsor needs to close a deal, and every lender needs to manage its own balance sheet.

The implication for commercial real estate is direct. When primary dealers charge more to carry duration, the cost of hedging rises. Swap spreads widen. The all-in cost of fixed-rate debt increases. Lenders who rely on interest rate swaps to manage their own risk pass that cost through to borrowers. The result is that every month of delay in refinancing becomes more expensive.

This is the mechanism: a borrower with a 2027 maturity who waits six months to lock a rate is not just risking that rates rise. They are also paying a higher cost for the time they spend

waiting. The dealer community has effectively raised the price of patience.

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For owners with floating-rate debt, the signal is equally clear. The short position suggests that dealers expect the Fed to keep rates higher for longer, or that the term premium demanded by investors is rising. Either way, the cost of rolling short-term debt is not coming down soon.

The cast of characters here is instructive. Primary dealers are not the borrowers. They are the intermediaries who make markets in the instruments that borrowers and lenders use to manage risk. When they change their posture, they are not making a political statement. They are making a risk-adjusted calculation about the price of time. That calculation is now embedded in every swap quote, every forward rate, and every loan pricing grid.

The tension is between the need for time and the cost of it. Every CRE owner with a maturing loan wants more time to lease up, sell, or recapitalize. Every lender wants to extend only if the economics work. The primary dealer short says that the economics of extending have gotten worse for everyone who relies on the bond market to fund that extension.

This is not a prediction of a crisis. It is a description of a constraint. The constraint is that liquidity is available, but it is priced for delay, not for duration. The market is not saying that time is unavailable. It is saying that time is expensive.

The practical consequence for CRE owners is that the optimal refinancing window may be narrower than it appears. Waiting for a better rate environment is not costless. The cost of waiting is embedded in the dealer community's willingness to carry risk. That willingness has just declined.

For lenders, the signal is to be more precise about the cost of commitments. A loan commitment that extends for six months is not the same as one that closes in 30 days. The difference is the cost of carrying the hedge. That cost just went up.

The market should test whether this dealer short persists. If it does, the cost of time will remain elevated. If it reverses, the pressure will ease. But for now, the message is that the price of

The next phase of the CRE cycle will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and who can afford to wait.